

Crypto's time to shine

CRYPTOCURRENCIES HAVE BEEN ON THE RECEIVING END OF MUCH CRITICISM FOR QUITE SOME TIME. Traditional banking services hate them because they're fundamentally different and pose a threat to them. A lot of people have poured their life's savings into crypto and an equally high number of people have also lost a lot of money owing to the extremely volatile nature of cryptocurrencies. That's not considering the folks who've been scammed or been a victim of "rug pulling". Cryptocurrencies are yet to gain mainstream legitimacy as time and time again, it experiences nearly the same amount of setbacks as it does victories.

The Ukraine crisis has presented an opportunity for Crypto to be used in all the ways that crypto-evangelists have claimed over the years. And to be honest, that has been true to a certain extent.

With the sheer amount of red tape around international money transfers, getting aid to Ukraine via the proper channels would entail a couple of hours, if not days, worth of delays. And that could adversely affect the way events pan out on the ground. Several Twitter influencers have been posting links to official government wallets that can receive crypto transfers and quite a lot of enterprising scamsters have been putting out phishing links and alternate wallet IDs in hopes of bagging some of the aid funds being channelled towards Ukraine. Phishing isn't exactly a crypto-specific vulnerability so one can't fault the blockchain ecosystem for not factoring that in.

On the other side of the border, the Russian economy is taking quite a bit of beating thanks to the many sanctions being implemented by governments across the world. As it turns out, they too can benefit from crypto since most of the sanctions are aimed at crippling services that rely on traditional forms of money and decentralised forms of payments can circumvent the way sanctions are implemented.

Now, before you start grabbing the pitchforks, hear me out. Current sanctions target traditional payment mechanisms because there are centralised agencies

that can be held accountable if they don't implement the sanctions. With crypto, it's seemingly out of the hands to block transactions from one wallet to another. However, like traditional FIAT currencies, even the crypto ecosystem has massive exchanges that control a huge chunk of the currency flow. And it wouldn't be difficult to implement blocks on currency transactions being sent via blockchain.

Consider this, every major country that's opening up to crypto requires that each customer be properly identified before they're allowed to transact on their platform. Here in India, we have KYC norms that need to be followed before a transaction can happen from a normal bank account to a crypto exchange.

Now that we've established that the sender can be identified, let's see what can be done about the receiver. Consider a similar process being followed at the receiving end would let you know who the receiver is. And lastly, all you need to do is establish the link between the two. No matter how much crypto evangelists talk about anonymity and decentralisation of crypto, the fact has been that the transactions are easily traceable. One of the salient features of the blockchain is that transactions are recorded for perpetuity unless someone gains controlling access to the network to make edits or reject edits.

At the end of the day, crypto transfers are just as susceptible to being hit by sanctions or any form of cyberwarfare. In fact, considering that cryptocurrencies have no backing like how FIAT currencies do, it only makes them even more susceptible.

The silver lining here is that cryptocurrencies, by virtue of not being tied up in red tape, is very easy to quickly implement as a measure for raising funds, and it is quickly scalable. That's something that traditional forms of exchange fail at.

So now that it's crypto's time to shine, it remains to be seen if it will truly end up being a life-saver or will it too be bogged down by red tape over time? **1**



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